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Chapter 2

Processing



Introduction To US Tax Processing

All processing occurs within other base applications, such as Inventory and Sales Order Processing.

Tax code validation on item and charge details is performed via Inventory Management. Order tax body overrides are performed in Sales Order Processing and Advanced Order Entry and tax amount calculation is performed in Sales Order Processing and Warehousing.

Order Tax Body Overrides

Customer tax bodies are usually defined so that no order tax body overrides are necessary. However, if the actual order delivery address county, city or state details are changed, but not the customer or delivery address code, the tax bodies applicable to the order must also be changed.

Order Entry Order Header Overrides Window (F16)



The following paragraphs explain how to access these options.

Select **F16** to access the maintenance option for Tax Overrides from the Order Header screen in:

- Order Entry and Amend (Transcriptional).
- Order Entry and Amend (Conversational).

Select **F15** to access the Customer Details screen in:

- Advanced Order Entry and Amend.

You can only maintain tax bodies in Advanced Order Entry on firm orders, not quotations. To change a quote into a firm order, blank out the quotation field and expiration date.



Press **Enter** twice to validate the changes.

Return to the Customer Details screen a second time to continue with the Tax Body Override.

Use this screen to maintain the tax bodies applicable to the order. These tax bodies override any that were applicable to this customer.

OE100	Z1 - Demonstration Company	USER SP1	8/09/94 15:15:29
Order Entry			
Invoice name and address		Delivery name and address	
The Drug Store		The Drug Store	
2035 North D. Street		2035 North D. Street	
San Bernardino		San Bernardino	
CA 92405		CA 92405	
U.S.A.		U.S.A.	
Stockroom.....?.. 01		Central England Depot	
Priority..... 50			
Price list code.....?			
Discount list code..?			
Priced at.....			
Cash discount code....			
Currency code.....?			
Currency rate code..?			
Currency rate.....			
F16=Tax overrides F21			

Order header overrides			
Tax	Body?	Description	Apply Vendors
			Tax ? Contrib %
CA		California	1 2.500
CALA		Los Angeles	1

F4=Prompt F5=Refresh F8=Accept F12=Previous

Fields:

Tax Body

Enter the tax body code(s) associated with the delivery address of the order. You can define up to 5 tax bodies for the order, dependant on whether the delivery address is subject to state, county, city, or any other type of sales tax.

Apply Tax

Enter one of the following:

1 - To apply tax at the rate defined for the order tax body.

0 - To have zero tax.

Blank - Leave this field blank to use the company profile default.

Vendors Contribution Percentage

Enter the Sales Tax amount to be paid by the vendor, this field is for information only.

Order Tax Bodies Order Tax Breakdown Window (F16)



Select **F16=Tax Breakdown** from the order trailer in Order Entry and Amend (Transcriptional and Conversational) and Advanced Order Entry and Amend.

A0011		Z1 - Demonstration Company		User SP1		1/09/94	
Order Trailer						12:35:41	
The Drug Store		US Dollars					
Customer order ref.. 2393-ms1				Customer order date.		1/09/94	
Suspend.....?.. _				Quotation type.....		A	
				Quotation expiry....		1/10/94	
Order Summary							
Total cost.....		11.05		Margin...		171.49 %	
		Amount				Base Amount	
Total goods.....		44.94				30.00	
Charge Code(?)	Description	VAT Code(?)	Rate				
01	Carriage Charge	14.70	2	.00			
Order tax breakdown							
Tax Body		Description		Taxable amount		Tax amount	
CA	California			14.70		.95	
F4 F12=Previous F22=External text							

The total taxable and tax amounts are broken down and displayed according to the tax bodies that are applicable to the customer/ order.

To maintain the tax bodies for this customer see the maintenance section. To maintain the percentage tax applicable to items or charges, use the US Sales Tax Maintenance options.

Tax Calculation

All functions that calculate sales tax for an order and invoice do so based upon the customer or order tax bodies, their applied tax flag, and the item or miscellaneous charge tax flag. This is the order in which an application attempts to calculate sales tax:

1. If Order Tax Body overrides are defined

Use these tax bodies, if Apply Tax flag for tax body is 0 no sales tax is applied.

Otherwise

If Customer Tax Body defaults are defined

Use these tax bodies, if Apply Tax flag for tax body is 0 no sales tax is applied.

2. If Item/Charge tax code is 2 (override defined)

Use override rate for the tax body for Order/Customer.

Otherwise

If no Item/Charge override defined

No sales tax is applied.

3. If Item/Charge tax code is 1

Use rate for the tax body for Order/Customer.

Otherwise

If Item/Charge tax code is 0

No sales tax is applied.

Line tax is calculated as follows:

(Item/Charge value multiplied by rate for tax body 1)
+ (Item/Charge value multiplied by rate for tax body 2)
+ (Item/Charge value multiplied by rate for tax body 3)
+ (Item/Charge value multiplied by rate for tax body 4)
+ (Item/Charge value multiplied by rate for tax body 5)

General Ledger Posting

Postings made to the General Ledger are performed via Financial Integrator operating in BFI (Basic) or AFI (Advanced) mode, depending on the status of the AFI link for the Sales Order Processing and Invoicing application.

BFI Mode

For each invoice posted, the total tax amount for each tax body associated with the invoice, is posted separately to the General Ledger account code defined on the Tax Body Details screen.

AFI Mode

Posting may be user defined based on values and attributes associated with Invoice Tax Header Details, Line Details, Change Details and Tax Body Details.

Refer to the AFI product information, (Sales Order Processing Interface), for more details.